23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and nine months ended September 30, 2018 and 2017 are calculated as follows:

(1) Ordinary Shares

	September 30, 2018		September 30, 2017	
(In millions of Korean won and thousands of number of shares)	**3 Months**	**9 Months**	**3 Months**	**9 Months**
Profit attributable to owners of the Parent company	₩ 12,967,428	₩ 35,560,808	₩ 11,039,771	₩ 29,328,245
Profit available for ordinary shares	11,396,510	31,252,853	9,694,653	25,753,240
Weighted-average number of ordinary shares outstanding	5,969,783	5,970,672	6,032,831	6,075,720
Basic earnings per ordinary share (in Korean won)	₩ 1,909	₩ 5,234	₩ 1,607	₩ 4,239

(2) Preference Shares

	September 30, 2018		September 30, 2017	
(In millions of Korean won and thousands of number of shares)	**3 Months**	**9 Months**	**3 Months**	**9 Months**
Profit attributable to owners of the Parent company	₩ 12,967,428	₩ 35,560,808	₩ 11,039,771	₩ 29,328,245
Profit available for preference shares	1,570,918	4,307,955	1,345,118	3,575,005
Weighted-average number of preference shares outstanding	822,887	823,094	838,802	849,439
Basic earnings per preference share (in Korean won)	₩ 1,909	₩ 5,234	₩ 1,604	₩ 4,209

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three and nine months ended September 30, 2018 and 2017.

24. Cash Flows

Adjustments and changes in assets and liabilities arising from operating activities for the nine months ended September 30, 2018 and 2017 are as follows:

- Adjustments

(In millions of Korean won)	2018	2017
Adjustments for:		
Income tax expense	₩ 13,669,416	₩ 9,559,965
Financial income	(2,922,912)	(2,509,171)
Financial expenses	1,995,250	1,883,994
Post-employment benefits	705,644	721,416
Depreciation	18,569,050	14,886,343
Amortization	1,020,676	1,155,447
Bad debt expenses (Reversal)	46,742	202,076
Dividend income	(102,619)	(100,924)
Gain on valuation of equity method	(289,126)	(122,114)
Gain on disposal of property, plant and equipment	(272,452)	(64,607)
Loss on disposal of property, plant and equipment	59,334	90,504
Obsolescence and scrapping of inventories	1,569,403	1,145,018
Gain on disposal of investments	(16,623)	(131,873)
Other income/expenses	105,531	39,412
Total	₩ 34,137,314	₩ 26,755,486

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	2018	2017
Changes in assets and liabilities :		
Increase in trade receivables	₩ (5,409,393)	₩ (4,469,738)
Decrease(Increase) in other receivables	858,372	(224,170)
Decrease(Increase) in advance payments	47,854	(409,827)
(Increase)decrease in prepaid expenses	(221,570)	361,933
Increase in inventories	(4,960,503)	(8,940,606)
Increase in trade payables	1,189,019	3,517,958
(Decrease)Increase in other payables	(3,350,738)	262,412
(Decrease)Increase in advances received	(126,106)	6,315
Increase in withholdings	33,325	527,843
Decrease in accrued expenses	(3,989,982)	(3,052,284)
Increase in provisions	2,161,806	2,722,467
Payment of post-employment benefits	(271,804)	(353,566)
Other	(2,231,773)	(1,686,277)
Total	₩ (16,271,493)	₩ (11,737,540)